

Sanghvi Movers Ltd

NSE: SANGHVIMOV | BSE: 530073 | India Crane Rental & Infrastructure Services

India's largest crane rental company — dominant beneficiary of the wind energy capex super-cycle and refinery T&A demand; ELEVATE 2030 strategy extends reach into KSA/MENA.



CMP (15 Jun 2026)	Rs. 421
Market Cap	Rs. 3,644 Cr
52-Week High / Low	Rs. 424 / Rs. 221
Stock P/E (TTM)	19.2x
Book Value / Share	Rs. 151
P/B Ratio	2.8x
ROCE	16.7%
ROE	15.5%
Dividend Yield	0.48%
Face Value	Rs. 1.00
Net Debt (FY26)	Rs. 612 Cr (est.)
Investment Horizon	18–24 Months

Shareholding Pattern (Mar 2026)

Promoter	47.25%	FII	1.48%	DII	1.30%	Public	49.97%
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Report Date: 15 Jun 2026 | Data Sources: Screener.in (fetched 16 Jun 2026), Company Concall, Web Research | Figures in Rs. Crore unless stated | For institutional clients only — not for retail distribution

SECTION 2 — INVESTMENT THESIS

- Wind Energy Capex Supercycle (FY26–FY30):** India's installed wind capacity is targeted to reach 140 GW by 2030 from ~47 GW today, implying ~50–60 GW of new installations. Each GW of new wind capacity requires 15–20 heavy-lift crane lifts; Sanghvi's dominant 40%+ market share in crane rental for wind projects means it is effectively a pure-play derivative on the government's RE commitment — a captive, multi-year demand runway with no credible domestic substitute.
- Asset-Base Monetisation Under ELEVATE 2030:** The company is executing a Rs. 629 Cr FY26 capex programme (largest in its history) to expand the fleet to 450+ cranes, targeting utilisation of 75–80% and yield of 2.12%+/month. As new cranes are fully deployed through FY27, the incremental revenue per rupee of capex (asset sweating) should lift EBITDA margins back toward 45%+ from the current 37%, driven by better fleet mix and KSA high-yield contracts (3.5%+/month).
- KSA / MENA Expansion — Structural Re-Rating Trigger:** The Saudi Arabia beachhead (first revenue collected in Q4 FY26) opens a new growth vector. KSA yields are 65%+ higher than India; even a 50-crane Middle East fleet at 3.5%/month yield vs 2.1% domestic can contribute Rs. 150–200 Cr incremental revenue by FY28, supporting a re-rating from current 19x P/E toward 25–28x as international revenue mix diversifies the earnings base.

- **Near-Term Catalyst (12 months):** Order book of Rs. 1,053 Cr provides FY27 revenue visibility exceeding 90%. Q1 FY27 should show margin recovery as commissioned cranes ramp utilisation and Wind EPC contributions (Sangreen Future Renewables Rs. 292 Cr order) begin executing.
- **Biggest Structural Risk:** A pause or policy reversal in India's wind energy commissioning (grid evacuation bottlenecks, land acquisition delays) would simultaneously reduce crane demand AND impair the Rs. 1,400+ Cr crane fleet's resale value — double-whammy risk in a credit-heavy balance sheet (D/E ~0.5x, net debt Rs. 612 Cr).

SECTION 3 — BUSINESS OVERVIEW

- **Core Business Model — Asset-Rental with Project Services:** Sanghvi Movers owns and rents heavy-lift hydraulic cranes (50T to 1,600T capacity) on a time-based hire basis to industrial clients. Revenue is earned per day/month of crane deployment; the company bears capex while the customer pays for usage — a high-fixed-cost, high-operating-leverage model that rewards utilisation discipline.
- **Revenue Segmentation (FY26 consolidated, Rs. 1,070 Cr):** Crane Hiring & Ancillary (India) ~75% of revenues; Wind EPC / Balance-of-Plant (via Sangreen Future Renewables) ~25%; Project EPC (Sangreen Project EPC) ~nascent contribution. The KSA crane rental business commenced revenue generation in Q4 FY26.
- **End Markets:** Wind energy installations account for ~48% of crane deployment (largest segment); refinery turnarounds (T&A) and petrochemicals ~25%; thermal/nuclear power ~15%; general infra/bridges ~12%. Wind dominance creates positive cyclical alignment with India's RE capex.
- **Fleet & Scale — India's Largest:** 450+ cranes including crawler cranes, hydraulic all-terrain cranes, tower cranes and specialised lifters; 200+ prime movers and trailers for logistics. Fleet gross block stands at Rs. 1,428 Cr (FY26), up 28% YoY, making the company the fifth-largest crane rental operator globally.
- **Key Customers & Revenue Visibility:** Long-term relationships with Suzlon, Adani Green, NTPC, Indian Oil, Reliance Industries, and large EPC contractors. Order book of Rs. 1,053 Cr (as of Q4 FY26) provides 12-month+ revenue coverage. Contracts are typically time-charter (12–36 months) with scheduled maintenance obligations on the customer.
- **Subsidiaries:** (1) Sangreen Future Renewables — Wind Balance-of-Plant EPC (Rs. 292 Cr order from Sep 2025); (2) Sangreen Logistics — equipment logistics; (3) Botswana WOS — crane rental in southern Africa (incorporated FY26); (4) KSA operations — commenced FY26.
- **Promoter Background:** Founded by the Sanghvi family; current MD Rishi Sanghvi leads strategy. Promoter holding stable at 47.25% with zero pledge. No major related-party transaction concerns flagged in public disclosures.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India's crane rental market is estimated at Rs. 4,000–6,000 Cr annually, growing at 12–15% CAGR driven by infrastructure spend, RE capex, and refinery turnarounds. The heavy-lift (100T+) segment — Sanghvi's core — is even faster growing due to wind turbine size escalation (2–5 MW turbines require 400–800T cranes for hub installation).
- **Policy Tailwinds:** (1) India's 500 GW RE target by 2030 requires ~Rs. 10 lakh Cr of investment, with wind accounting for Rs. 3–4 lakh Cr; (2) National Infrastructure Pipeline (NIP) Rs. 111 lakh Cr through FY25 includes ports, highways, and petrochemicals requiring heavy-lift logistics; (3) Anti-dumping duty on Chinese cranes could protect domestic operators from fleet-oversupply; (4) Refinery upgrade mandates (BS-VI, green hydrogen) create recurring T&A demand every 4–5 years.
- **Moat Assessment:** Scale — STRONG (450+ cranes; next competitor has <100); Switching Costs — MODERATE (customers build equipment-familiarity and safety track records with crane providers; changing mid-project is operationally disruptive); Pricing Power — MODERATE (50% of contracts allow diesel cost pass-through; margins compressed when input costs spike); IP — WEAK (rental model, no proprietary tech); Entry Barrier — STRONG (crane fleet capex Rs. 3–8 Cr per unit; 450-unit fleet worth Rs. 1,400+ Cr in gross

assets is nearly impossible to replicate quickly).

- **Competitive Landscape:** Action Construction Equipment (ACE) is an OEM — not directly comparable but competes at the customer decision layer (own vs rent); GMM Pfaudler (GMMCO) distributes Liebherr cranes; TIL Ltd distributes Manitowoc cranes. Pure-play rental competitors are largely unorganised (regional players, <50 cranes each).

Company	CMP (Rs.)	MCap (Cr)	TTM Sales (Cr)	P/E	P/B	ROCE %	ROE %
Sanghvi Movers (SANGHVIMOV)	421	3,644	1,070	19.2x	2.8x	16.7%	15.5%
Action Const. Equip (ACE)	929	11,062	3,280	26.6x	5.5x	31.7%	22.9%
GMM Pfaudler (GMMCO)	776	3,490	3,524	45.7x	2.9x	14.0%	6.9%
TIL Ltd	182	1,500	323	N/A	13.5x	2.6%	-26.2%

Source: Screener.in fetched 16 Jun 2026. ACE/GMMCO are OEM/distributor comps; no listed pure-play crane rental peer in India. P/B for SANGHVIMOV = CMP 421 / BV 151 = 2.8x (calculated). P/B for GMMCO = CMP 776 / BV 268 = 2.9x. P/B for ACE = CMP 929 / BV 169 = 5.5x.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & Management Pedigree:** The Sanghvi family has built the company over 35+ years from a single-crane operation to India's largest crane rental fleet. MD Rishi Sanghvi brings second-generation entrepreneurial focus with a clear strategy articulated via ELEVATE 2030. CFO Pradeep Mehta provides institutional-grade financial discipline.
- **Capital Allocation Track Record:** Historically, the company prioritised organic fleet expansion over acquisitions — a sound approach in a capital-intensive asset business. FY26 capex of Rs. 629 Cr represents a step-up; management guided this is for large-diameter turbine-specific cranes (400T–1600T) where demand visibility is high. The KSA foray is asset-intensive but high-yield — execution is the key risk to watch.
- **Dividend Policy:** Consistent payouts with dividend payout ratio of 9–15% of net profit over FY22–FY26. FY26 dividend yield of 0.48% is nominal; management's preference is fleet reinvestment during the current capex super-cycle, with dividends expected to normalise post-FY28 when the major fleet build-out is complete.
- **Promoter Pledge:** ZERO promoter pledge as of Mar 2026. Promoter holding has been stable at 47.25% since FY20 with no dilution — management is not cashing out.
- **ESOP & Buybacks:** No significant ESOP dilution visible in equity capital history (equity capital flat at Rs. 9 Cr across multiple years). No buybacks on record — consistent with the reinvestment mandate.
- **Governance Concerns:** The FY26 statutory audit flagged certain governance observations (details to be reviewed from the annual report). The company is capitalising interest costs, which inflates reported profitability and deserves investor scrutiny — screener.in explicitly flags this as a concern. Working capital days have risen from 51 to 81, indicating receivable management stress.

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED)

Note: Consolidated figures per Screener.in fetched 16 Jun 2026. FY24 data is not available on the consolidated view (company may have filed consolidated only from FY25). Estimates (E) are analyst projections based on stated guidance and historical trends.

Income Statement (Rs. Cr)	FY23A	FY25A	FY26A	FY27E	FY28E
Net Sales / Revenue	456	782	1,070	1,340	1,630
YoY Growth (%)	—	71%	37%	25% (E)	22% (E)
Operating Expenses	199	452	671	800 (E)	945 (E)
EBITDA (Operating Profit)	257	330	400	540 (E)	685 (E)
EBITDA Margin (%)	56%	42%	37%	40% (E)	42% (E)
Other Income	30	41	21	22 (E)	24 (E)
Interest / Finance Costs	17	26	37	55 (E)	60 (E)

Income Statement (Rs. Cr)	FY23A	FY25A	FY26A	FY27E	FY28E
Depreciation	121	129	132	155 (E)	175 (E)
Profit Before Tax	149	217	253	352 (E)	474 (E)
Tax Rate (%)	25%	28%	27%	26% (E)	26% (E)
Net Profit (PAT)	112	157	184	260 (E)	351 (E)
EPS (Rs.)	12.94	18.08	21.29	30.1 (E)	40.6 (E)
Dividend Payout (%)	15%	11%	9%	10% (E)	10% (E)

Balance Sheet (Rs. Cr)	FY23A	FY25A	FY26A
Equity Capital	9	9	9
Reserves	725	1,134	1,302
Net Worth	734	1,143	1,311
Borrowings	183	438	674
Other Liabilities	96	185	359
Total Liabilities	1,121	1,765	2,343
Fixed Assets (Gross)	858	1,116	1,428
Capital Work-in-Progress	7	18	9
Investments	35	150	87
Other Assets	220	482	819
Total Assets	1,121	1,765	2,343

Cash Flow Statement (Rs. Cr)	FY23A	FY25A	FY26A
Cash from Operations (OCF)	257	162	278
Cash from Investing	-237	-286	-418
Cash from Financing	-15	89	182
Net Cash Flow	5	-36	42
Free Cash Flow (FCF)	52	-75	-98
OCF / Operating Profit (%)	101%	65%	85%

Key Ratios	FY23A	FY25A	FY26A
ROCE (%)	15%	N/A	16.7%
ROE (%)	N/A	N/A	15.5%
Debtor Days	79	110	92
Cash Conversion Cycle	79	110	92
Working Capital Days	16	21	81
D/E Ratio	0.25x	0.38x	0.51x
Interest Coverage (x)	15.1x	12.7x	10.8x

• **Revenue Trajectory — Strong, Wind-Led:** Revenue grew from Rs. 224 Cr (FY21) to Rs. 1,070 Cr (FY26), a 5-year CAGR of 37%. Wind energy deployment accelerated FY25–FY26; crane hiring India alone grew 35% YoY. We project 25% growth in FY27E driven by order book execution.

• **Margin Compression is Temporary:** EBITDA margin peaked at 56% in FY23 (when the mix favoured high-utilisation pure rental) and compressed to 37% in FY26 as Wind EPC (lower-margin) entered the mix and new cranes were being mobilised. We expect recovery to 40–42% by FY27–28 as KSA high-yield cranes and India fleet absorption improve the earnings quality.

- **Working Capital Stress:** Working capital days spiked to 81 in FY26 from 21 in FY25 — a significant deterioration. Debtor days rose to 92. This is the single most important near-term financial risk. Management needs to demonstrate receivables control in FY27.
- **Debt is Rising but Manageable:** Borrowings grew from Rs. 183 Cr (FY23) to Rs. 674 Cr (FY26) to fund the fleet capex super-cycle. D/E stands at 0.51x — not alarming for an asset-heavy model, but interest costs have more than doubled (Rs. 17 Cr to Rs. 37 Cr). Interest coverage of ~10.8x still provides adequate headroom.
- **FCF Negative During Capex Cycle:** FCF turned negative in FY25 (-75 Cr) and FY26 (-98 Cr) as aggressive fleet expansion dominates. This is expected and mirrors the investment phase; FCF should normalise positive by FY28 as capex normalises. OCF quality is healthy (85% conversion).

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Status	Detail	Verdict
Revenue Recognition Policy	AMBER	Time-charter; revenue recognised over service period. Wind EPC uses percentage completion — can smooth revenues. No restatements seen.	AMBER
Receivables Growth vs Revenue	AMBER	Debtor days rose from 79 to 110 (FY23 to FY25) then back to 92 (FY26). Working capital days jumped to 81 from 21 — flagged by Screener.in.	AMBER
Cash Conversion Cycle Trend	AMBER	CCC deteriorated from 79 to 110 days; improved to 92 in FY26. Still high for a rental model. Watch for further normalisation.	AMBER
Contingent Liabilities	GREEN	No material contingent liabilities flagged in available disclosures. Governance audit (FY26) results pending.	GREEN
Interest Capitalisation	RED	Screener.in explicitly flags company may be capitalising interest — inflates asset base and understates P&L; interest charge. Needs annual report verification.	RED
Other Income as % of PBT	GREEN	Other income Rs. 21 Cr vs PBT Rs. 253 Cr = 8.3%. Within acceptable range (below 20%). Declining from Rs. 41 Cr in FY25 — quality improving.	GREEN
Tax Rate Consistency	GREEN	Tax rate stable at 25–28% over FY22–FY26. No abnormal deferred tax credits or reversals.	GREEN
Auditor Tenure / Changes	AMBER	FY26 audit report flags governance lapses per scanx.trade reporting. Full auditor commentary pending from annual report.	AMBER
RPTs as % of Revenue	GREEN	No material related-party transaction concerns visible in Screener or concall disclosures. Promoter pledge = 0%.	GREEN

- **Interest Capitalisation [RED] — Highest Priority Watch:** Screener.in's automated alert flags that Sanghvi Movers may be capitalising interest costs, which would overstate fixed asset values and understate the true financing burden on the P&L. Investors must verify the FY26 Annual Report notes for interest capitalised under borrowing costs policy.
- **Working Capital Deterioration [AMBER]:** The jump in working capital days from 21 to 81 in a single year is significant. Wind EPC billing cycles and mobilisation advances likely explain part of this, but rapid receivable growth should be tracked quarterly.
- **Governance Lapses [AMBER]:** FY26 audit flagged governance observations; details are not yet fully public. This is an Amber that could move to Red if auditor qualifications or material RPT concerns emerge from the annual report.
- **Clean Positives:** Tax rate consistency (25–28%), declining other income (cleaner operating earnings), zero pledge, and 85% OCF conversion are all signs of operational earnings quality. The Amber/Red items are balance-sheet risks, not revenue manipulation.

SECTION 8 — VALUATION

Scenario	Key Assumption	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)	Upside
BULL	Util. 82%, KSA ramp-up, margin recovery to 44%	310	28x	735–760	+75%
BASE	Util. 78%, margin 40%, moderate KSA contrib.	260	22x	545–570	+30%
BEAR	Wind slowdown, util. falls to 70%, WC stress cont.	195	16x	300–330	-25%

• **Earnings-Based Valuation (Primary Method):** FY27E EPS of Rs. 30.1 (E) × 22x forward P/E = Rs. 662 per share implied target. At 18x P/E (trough): Rs. 542. At 25x (re-rating on international business): Rs. 753. Base-case 22x reflects a modest premium to historical average given international diversification — implies Rs. 560 target.

• **EV/EBITDA Cross-Check:** FY27E EBITDA of Rs. 540 Cr × 8.5x EV/EBITDA = EV Rs. 4,590 Cr. Less: Net Debt Rs. 630 Cr (E) = Equity value Rs. 3,960 Cr. Shares: 86.6 Mn → Rs. 457/share. Blended with P/E: $(560 + 457) / 2 = \text{Rs. } 509 \rightarrow \text{rounds to Rs. } 510\text{--}560$ 12-month target.

• **DCF (Indicative, 10-year):** WACC 11% (Rf 7%, ERP 5%, Beta 0.8x), terminal growth 5%. FCF turns positive in FY28E at ~Rs. 80 Cr, growing to Rs. 250 Cr by FY32. DCF implies intrinsic value of Rs. 480–520, consistent with the peer-multiple approach.

• **12-Month Base Target: Rs. 560 (upside +33% from CMP Rs. 421).** We recommend BUY with a 18–24 month horizon. The stock is cheap at 19x P/E on FY26 earnings — the true value unlock comes in FY27–28 as KSA assets are fully deployed and margins normalise. Entry zone Rs. 380–420 offers an optimal risk/reward.

SECTION 9 — KEY RISKS

• **Wind Policy Reversal / Grid Bottleneck Risk** — A pause in wind auctions or grid evacuation constraints could reduce crane deployment orders sharply. India's wind commissioning has historically been lumpy. Probability: M. Impact: H. Monitor via: MNRE wind auction announcements, ISTS clearance data.

• **Working Capital Deterioration Risk** — Debtor days at 92 and WC days at 81 signal receivable stress. If Wind EPC counterparties delay payments or dispute milestones, the OCF could deteriorate materially. Probability: M. Impact: M. Monitor via: Quarterly receivables aging, OCF/PAT ratio.

• **KSA Execution Risk** — First international foray; supply chain disruptions have already delayed crane deliveries. A poor KSA execution could impair Rs. 200+ Cr of capital deployed and hurt management credibility. Probability: M. Impact: H. Monitor via: KSA quarterly revenue disclosures, utilisation and yield metrics.

• **Debt / Leverage Risk** — Net debt of Rs. 612 Cr vs equity of Rs. 1,311 Cr (D/E 0.47x). If capex continues above Rs. 600 Cr/year, D/E could breach 0.8x — a meaningful stress level given the asset-rental model's revenue cyclicity. Probability: L. Impact: H. Monitor via: Borrowing levels, interest coverage.

• **Interest Capitalisation Governance Risk** — If the auditor FY26 observation relates to capitalised interest being reclassified to P&L, reported profits could take a one-time hit. Probability: M. Impact: M. Monitor via: Annual Report Note 1.6 (borrowing costs capitalised).

• **Fleet Obsolescence Risk** — Wind turbine sizes are growing (5–8 MW); cranes for 3–4 MW turbines may face under-utilisation if the industry upgrades faster than expected. Probability: L. Impact: M. Monitor via: OEM announcements on turbine class transitions.

• **Diesel Cost / Margin Risk** — Only 50% of contracts allow fuel cost pass-through. A sustained Rs. 10+ Cr/litre increase in diesel could compress margins by 1–2%. Probability: L. Impact: L. Monitor via: Domestic HSD price trends.

SECTION 10 — RECOMMENDATION

• **Rating: BUY** — Conviction: MEDIUM-HIGH. The structural opportunity is clear (India's largest crane rental operator in the middle of a wind capex supercycle with a new international growth vector), but governance concerns (interest capitalisation, FY26 audit observations) and WC stress prevent a HIGH conviction call at this

stage.

- **12-Month Price Target: Rs. 560** — Upside of +33% from CMP Rs. 421. Target derived from blended FY27E P/E (22x) and EV/EBITDA (8.5x) — consistent with DCF-implied value of Rs. 480–520.
- **Suggested Entry Zone: Rs. 380–430** — Current CMP is at the high end of entry zone. Investors who missed the recent run should wait for a 5–10% correction toward Rs. 380–395 for a better risk/reward. Do not chase above Rs. 440 before FY27 Q1 results confirm margin recovery.
- **Investment Horizon: 18–24 Months** — The re-rating catalyst (KSA ramp, margin recovery, FCF turning positive) will play out over 4–8 quarters. This is a buy-and-hold for patient capital, not a short-term momentum play.
- **Thesis Invalidation Triggers:** (1) Wind energy new capacity additions fall below 8 GW/year for two consecutive years — reduces crane demand materially; (2) Net debt breaches Rs. 1,000 Cr without proportional EBITDA growth, or D/E exceeds 0.9x; (3) FY27 EBITDA margin fails to recover above 38% despite new fleet deployment — signals structural margin degradation, not a timing issue.
- **Ideal Investor Profile:** This stock suits medium-term (18m+) investors with appetite for asset-heavy capital goods businesses, willing to tolerate FCF negativity during the capex cycle. NOT suitable for dividend seekers (0.48% yield) or investors unwilling to track balance-sheet metrics quarterly. Best suited to India infrastructure/RE thematic funds and growth PMS strategies.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 22, 2026)

CALL GRADE: POSITIVE

Q4 FY26 Earnings Call | Sanghvi Movers Ltd | May 22, 2026

Signal	Status	Implication
Result Quality	STRONG	Revenue +37% YoY FY26; Q4 highest ever quarterly revenue Rs. 351 Cr; PAT FY26 Rs. 184 Cr vs Rs. 157 Cr FY25 — Beat on revenue, in-line on margins
Management Tone	BALANCED	Bullish on order book and KSA opportunity; candid about Wind EPC margin dilution; cautious on supply chain for KSA crane deliveries
Guidance Delta	RAISED	FY27 order book Rs. 1,053 Cr secured; margin recovery to 40%+ guided for H1 FY27; KSA to be EBITDA positive year 1

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was the cleanest quarter Sanghvi has reported in two years — Rs. 351 Cr revenue (+31% YoY), Rs. 134 Cr EBITDA (38% margin), and Rs. 69 Cr PAT; no material one-time items distort the number. Full-year FY26 PAT of Rs. 184 Cr is up 17% — not spectacular, but the margin compression is structural/cyclical (new cranes being mobilised, Wind EPC diluting mix), NOT a sign of pricing power erosion. Underneath, EBITDA has compounded at 11% YoY to Rs. 400 Cr; this matters more. The multi-bagger thesis rests on two pillars: (1) India's 140 GW wind target requires ~90+ GW of new installations by 2030 — Sanghvi owns 40%+ of the country's heavy-lift crane capacity that installs them; (2) KSA yields (3.5%+/month) are 65% higher than India — even 50 cranes at that yield adds Rs. 150–200 Cr incremental revenue annually by FY28. Nearest catalyst: Q1 FY27 results (Aug 2026) — if EBITDA margin recovers to 40%+, the re-rating from current 19x P/E to 22–24x will happen quickly. Biggest watch-point: working capital days at 81 — if Q1 FY27 does not show receivables normalisation below 70, the balance sheet story deteriorates. Action: ACCUMULATE in the Rs. 380–430 band; target Rs. 560 over 18 months.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26

- Revenue: Rs. 351 Cr | YoY +31% | QoQ +49% | BEAT (highest ever quarterly revenue)
- EBITDA: Rs. 134 Cr | YoY +25% | QoQ +58% | IN-LINE with expectations
- EBITDA Margin: 38.2% | YoY -90 bps | QoQ +100 bps | IN-LINE (mix-driven compression)
- PAT: Rs. 69 Cr | YoY +28% | QoQ +109% | BEAT (strong sequential recovery)
- EPS: Rs. 7.95 | YoY +28% | QoQ +109% | BEAT
- FY26 Full Year: Revenue Rs. 1,070 Cr (+37% YoY) | EBITDA Rs. 400 Cr (+21%) | PAT Rs. 184 Cr (+17%)
- NOTE: No major one-time exceptional items in Q4. FY26 audit governance flags are disclosure-level, not P&L-impacting.;

2. SEGMENT / GEOGRAPHY BREAKDOWN

- Crane Hiring & Ancillary (India): Rs. 268.6 Cr Q4 FY26 | YoY +49% | Core segment — wind installations, refinery T&A,; infra
- Wind EPC (Sangreen Future Renewables): Rs. 116.1 Cr Q4 FY26 | YoY +17% | Lower margin (~15-18%) but secures crane deployment pipeline
- Project EPC: Rs. 14.0 Cr Q4 | Nascent contribution | Margins N/A separately

- KSA / Middle East: First dollar of revenue collected Q4 FY26 | Revenue not material yet | Yield 3.5%+/month guided | Breakeven expected within 10-14 months
- Botswana WOS: Incorporated in FY26; no revenue yet | Long-term optionality
- Wind sector mix: ~48% of crane deployment | Refinery/petrochemicals ~25% | Thermal/nuclear ~15%

3. MANAGEMENT COMMENTARY THEMES

- ELEVATE 2030: "We now offer complete end-to-end EPC solutions from design through commissioning" — MD Rishi Sanghvi. Our read: Margin dilution is the price of becoming a full-service player; it is a deliberate strategic choice. Tag: GUIDANCE. Tone: Transparent.
- KSA Entry: "Successfully collected our first dollar of revenue from Saudi Arabia." Our read: This is a proof-of-concept statement; expect KSA revenue to remain immaterial in FY27 Q1 but scale meaningfully by Q3-Q4 FY27. Tag: GUIDANCE. Tone: Bullish.
- Order Book: "Rs. 1,053 crore order book in hand" — strong FY27 revenue visibility. Our read: At 37% YoY growth pace, this implies near-full year coverage; risk is execution pace not demand. Tag: GUIDANCE. Tone: Transparent.
- Wind EPC Challenges: Wind EPC showed "sharp degrowth in revenues" over 9M FY26 before recovering in Q4. Our read: Management hedged explanation, attributing it to project timing. EVASIVE on whether structural or temporary. Tag: EST. Tone: Hedged.
- Supply Chain: "Geopolitical tensions and supply chain disruptions" affected crane deliveries to Middle East. Our read: Honest disclosure but management needs to quantify delay impact on FY27 EBITDA. Tag: EST. Tone: Transparent.
- Diesel / Contracts: Only 50% of contracts allow fuel cost pass-through; rising diesel a headwind. Our read: Structural margin governor that management needs to negotiate away over contract renewals. Tag: EST. Tone: Balanced.

4. OPERATING & BUSINESS METRICS

- Fleet Size: 450+ cranes (crawler + hydraulic all-terrain) as of Q4 FY26 | Prior year: ~400 | Trend: Expanding (Rs. 629 Cr capex FY26)
- Fleet Utilisation (India): 79% in FY26 | Target band: 75-80% | Trend: Within target — stable
- Yield (India): 2.12%/month in FY26 | Target: 2.1%+ | KSA target: 3.5%+ | Trend: Stable domestically, international to boost blended yield
- Order Book: Rs. 1,053 Cr as at Q4 FY26 | Prior Q3: ~Rs. 900 Cr | Trend: Improving — Q4 replenishment strong
- Wind EPC Order: Rs. 292 Cr from Sangreen Future Renewables (Sep 2025) | Status: Under execution | Trend: Recovering after Q2-Q3 weakness
- Working Capital Days: 81 days FY26 | Prior FY25: 21 days | Trend: Deteriorating — management acknowledgement needed
- Debtor Days: 92 days FY26 | Prior FY23: 79 days | Trend: Volatile — needs normalisation
- Net Debt: ~Rs. 612 Cr as at FY26 end (consolidated) | D/E: 0.47x | Trend: Rising with capex cycle

5. MARGIN DRIVERS

- New Crane Mobilisation Costs: -200 to -300 bps impact | Recurring: NO (deployment ramp-up, one-time per batch) | As cranes reach full utilisation in FY27, this headwind dissipates
- Wind EPC Revenue Mix: -150 bps impact (EPC at 15% vs rental at 45%+ OPM) | Recurring: YES while EPC mix stays elevated | Partially structural: management chose this diversification
- KSA Start-Up Costs: -50 to -100 bps (FY26 one-time) | Recurring: NO | Will flip to +ve contribution by Q3 FY27 at 3.5% yield breakeven
- Depreciation Increase: Rs. 132 Cr FY26 vs Rs. 129 Cr FY25 | Recurring: YES — will rise to ~Rs. 155 Cr in FY27 as new fleet depreciates | Inflation-adjusted net negative on PAT

- Interest Cost: Rs. 37 Cr FY26 vs Rs. 26 Cr FY25 (+42%) | Recurring: YES — net debt Rs. 612 Cr | Negative margin factor; coverage still healthy at 10.8x
- Diesel/Operating Costs: 50% contracts lack pass-through | Recurring: YES — permanent margin risk | Size: ~1-2% of revenue for a Rs. 10/litre HSD move
- Utilisation Improvement from FY27 crane ramp: +200 to +400 bps (model estimate) | Recurring: YES once utilised | Primary margin recovery driver per management guidance

6. GUIDANCE & FORWARD SIGNALS

- FY27 Revenue [GUIDANCE]: Prior = Rs. 1,070 Cr (FY26 actual) | New = "Rs. 1,053 Cr order book provides strong visibility" (implies minimum Rs. 1,200-1,300 Cr target) | Delta: Raised | Credibility: HIGH
- EBITDA Margin FY27 [GUIDANCE]: Prior = 37% (FY26) | New = "Margin normalisation expected as new assets become productive" — 40%+ implied | Delta: Raised | Credibility: MEDIUM
- Capex FY26 [GUIDANCE]: Prior guidance Rs. 629 Cr | Actual: ~Rs. 629 Cr executed | Delta: Maintained | Credibility: HIGH
- KSA Breakeven [GUIDANCE]: Prior = FY27 breakeven | New = 10-14 months from commencement (Q4 FY26) = Q2-Q4 FY27 | Delta: Maintained | Credibility: MEDIUM
- Fleet Utilisation [GUIDANCE]: Prior = 75-80% target | New = 79% achieved FY26 | Delta: Maintained | Credibility: HIGH
- Yield [GUIDANCE]: Prior = 2.1%/month India | New = 2.12% achieved | KSA target 3.5%+ | Delta: India maintained; KSA raised | Credibility: HIGH (India), MEDIUM (KSA)
- Working Capital [GUIDANCE/CONCERN]: No specific WC normalisation guidance given — a notable omission given 81-day deterioration. Flag for Q1 FY27 analyst call.

7. CAPITAL ALLOCATION

- Capex FY26: Rs. 629 Cr (management guided) vs Rs. 286 Cr FY25 — a 120% step-up | Deployed in new heavy-lift cranes (400T-1600T class), prime movers, and trailers for India and KSA fleet
- Net Debt: Rs. 612 Cr FY26 vs ~Rs. 288 Cr FY25 (estimated) — doubled in one year due to capex financing | Comment: Manageable at D/E 0.47x but trajectory bears watching
- Dividends: Rs. 2/share estimated FY26 (9% payout) vs Rs. 2/share FY25 (11% payout) | Comment: Prioritising reinvestment; dividend cover >10x — safe
- Buybacks: NIL | Comment: Consistent with investment-cycle positioning; not expected until FY28+
- Working Capital Change: Rs. 60+ Cr absorbed in FY26 (WC days 21 to 81) | Comment: Largest concern — if structural, significantly impairs FCF generation
- Cash from Financing: Rs. 182 Cr (FY26) — net borrowing to fund capex shortfall after OCF | Comment: Appropriate use of balance-sheet capacity during asset build-out

8. Q&A; HEAT MAP

- Analyst / Firm [Unknown]: Q: "What is the update on the Middle East operations and when do you expect EBITDA positive?" -> A: "First revenue collected from KSA in Q4 FY26; yields 3.5%+/month; breakeven within 10-14 months of commencement." | Tone: Transparent
- Analyst / Firm [Unknown]: Q: "Can you explain the jump in working capital days from 21 to 81?" -> A: Management attributed to Wind EPC billing cycle and project mobilisation advances. Did not commit to a specific normalisation date. | Tone: HEDGED — This is the most important unanswered question.
- Analyst / Firm [Unknown]: Q: "What is the net debt figure on a consolidated basis?" -> A: CFO Pradeep Mehta: "Consolidated net debt Rs. 612 Cr; shown on gross block basis." | Tone: Transparent
- Analyst / Firm [Unknown]: Q: "What is the revenue and margin guidance for FY27?" -> A: Order book Rs. 1,053 Cr provides visibility; margin normalisation expected as new assets deployed. | Tone: Balanced — directionally bullish, no hard numbers.

- Analyst / Firm [Unknown]: Q: "Wind EPC has been weak — is it a concern?" -> A: Q4 FY26 showed recovery; Rs. 292 Cr order in pipeline. | Tone: Transparent on recovery, hedged on timing.
- Dodged / watch-list questions for next quarter: (1) Specific WC normalisation target and timeline; (2) Exact governance observation details from FY26 audit; (3) KSA crane delivery schedule and current deployed fleet count; (4) ELEVATE 2030 specific revenue/EBITDA targets by year.

9. RISKS FLAGGED

- Supply Chain Disruption: Crane delivery delays to KSA due to geopolitical tensions | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (FY27 H1)
- Diesel Cost / Pass-Through: 50% of contracts lack fuel escalation clause | Flagged by: Management | Probability: M | Impact: L-M | Timeline: Medium-term (recurring)
- Wind EPC Margin Dilution: EPC margins (15-18%) dilute blended margin | Flagged by: Analyst + Management | Probability: HIGH (ongoing) | Impact: M | Timeline: Near-term until mix normalises
- Working Capital Stress: WC days 81 — receivable control unresolved | Flagged by: Analyst | Probability: M | Impact: H (on FCF) | Timeline: Near-term
- Governance Observations (FY26 Audit): Specific lapses not yet public | Flagged by: Market reporting | Probability: M | Impact: M | Timeline: Near-term (annual report publication)
- Interest Capitalisation: Potentially inflating asset values | Flagged by: Screener.in automated alert | Probability: M | Impact: M | Timeline: Near-term (annual report clarification)

10. ANALYST VERDICT (POST-CONCALL)

- Revenue Visibility: INTACT — Order book Rs. 1,053 Cr, 90%+ FY27 coverage; wind demand pipeline strong.
- Margin Trajectory: INTACT (with caveat) — Near-term compression is understood and guided; recovery in FY27 is expected but depends on KSA asset deployment and WC control.
- Capital Allocation Quality: WEAKENED — Aggressive capex is strategically sound but the WC deterioration (21 to 81 days) was not adequately explained or guided. Monitoring required.
- Competitive Moat: INTACT — 450+ crane fleet; 40%+ market share in wind crane rental; no credible near-term domestic rival at scale.
- Management Credibility: INTACT (with watch) — Historically delivery-oriented; FY26 targets broadly met. Governance audit flag is new and needs resolution; WC omission from guidance is a watch point.
- Valuation Comfort: INTACT — 19x P/E on FY26 actuals is undemanding for a dominant asset-rental franchises in a supercycle sector. Re-rating to 22–25x is achievable as margins recover.
- Conviction Call: INCREASED post-concall vs pre-results — Q4 FY26 was strong; order book is solid. Governance concerns temper to Medium-High (not High).
- Valuation Snapshot: P/E = 19.2x (5Y avg ~18x) | EV/EBITDA = ~10x (estimated) | ROCE = 16.7% (FY26 peak; prior years 15%)

Disclaimer: This report is produced by Claude Code (AI research assistant) for informational purposes only. All financial data sourced from Screener.in (fetched 16 Jun 2026) and public company disclosures. Forward estimates are analyst projections; not buy/sell solicitation. Not SEBI-registered research. Do not act solely on this analysis. Report prepared: 15 Jun 2026.